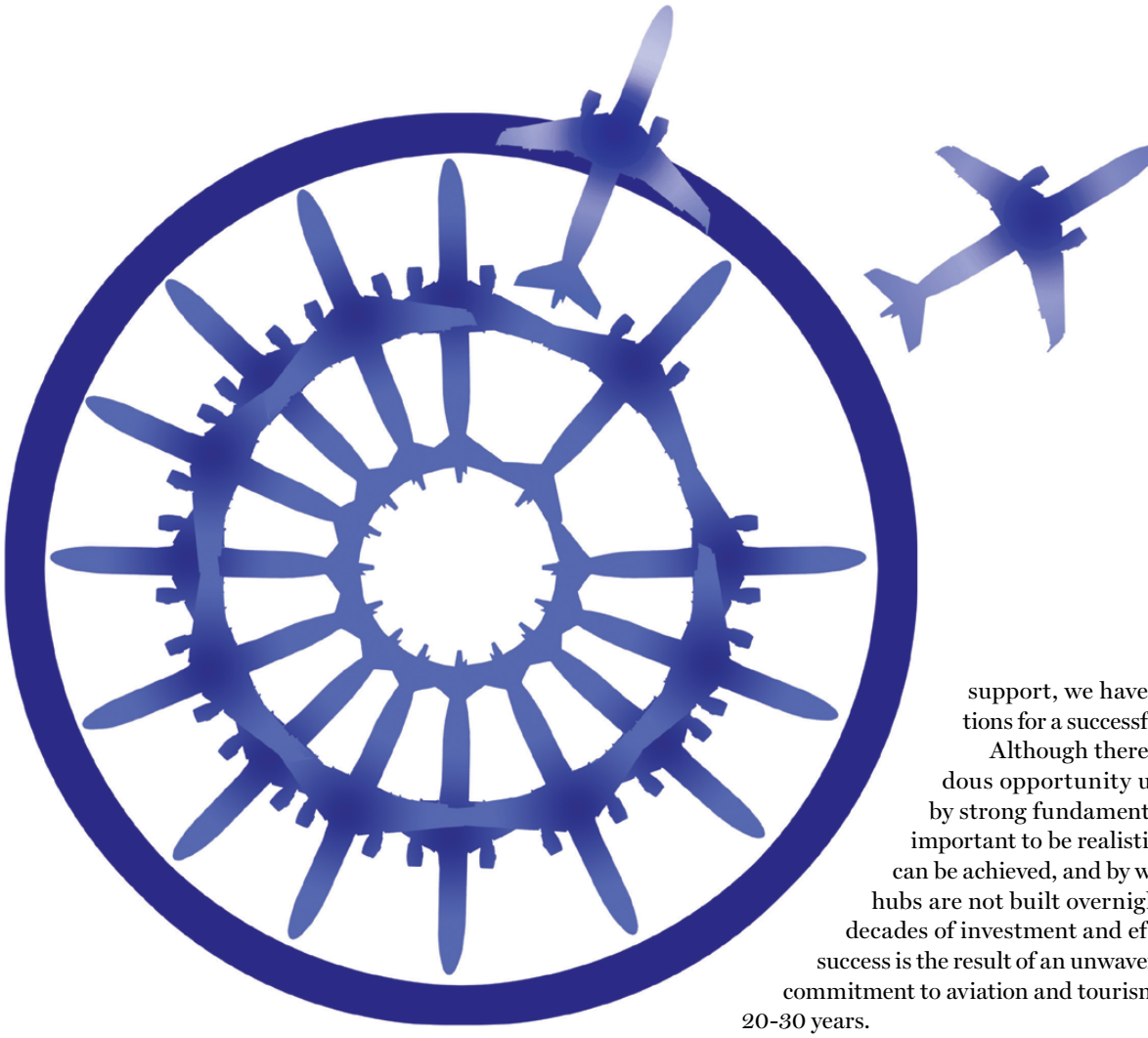


flows. CAPA Advisory expects that Indian carriers will operate an additional 150 widebodies by FY35, supplemented by A321XLRs on medium-haul routes.

Between Air India and IndiGo's complementary business models, they will be able to capture both premium and price-sensitive passengers, by leveraging India's favourable geography to connect passengers via Indian airports.

Geographical advantage: India's location is as good, or in some cases even better, than hubs in the Gulf or Asia, to be able to provide competitive routings between Europe, the Middle East and Africa on the one hand, and Asia Pacific on the other. There is a genuine opportunity for 2-3 Indian airports to emerge as leading global hubs, in cooperation with Air India and IndiGo, which are as attractive and competitive as the likes of Dubai, Abu Dhabi, Doha, Singapore or Hong Kong, for example.

The proposition of Indian hubs is further strengthened by the unique stopover experiences that India can offer tourists. Short stopovers can encourage passengers to return for longer visits that will drive the long-term growth of inbound tourism. The Government of India clearly recognises this opportunity and has stated its strategic intent to support the development of hubs. If it can provide the necessary enabling support, we have the foundations for a successful outcome.

Although there is a tremendous opportunity underpinned by strong fundamentals, it is also important to be realistic about what can be achieved, and by when. Airport hubs are not built overnight, they take decades of investment and effort. Dubai's success is the result of an unwavering national commitment to aviation and tourism for the past 20-30 years.

Pivotal role of key stakeholders: India cannot take it for granted that its hubs will succeed. And it cannot be left to airlines and airports alone. Central and state governments need to focus on developing tourism infrastructure, ensuring that the cost base is competitive, offering simplified visa and facilitation processes, developing multi-modal infrastructure, effectively promoting the destination, enabling airlines to trans-ship cargo, investing in airspace efficiency, and making safety and security paramount etc.

Similarly, airports will need to invest in infrastructure and facilities that are attractive to transfer passengers with relatively longer dwell times. Such traffic has different requirements to the origin-destination passengers that Indian airports mostly handle today. This will require a well-thought-through hub development policy. And it may need to be supported by a dedicated fund to incentivise airports that are not in a position to invest in world-class hub and transfer capabilities because of the high revenue share arrangements to which they are committed.

India has a tremendous opportunity to establish itself as a global aviation hub over the next 5-7 years, provided that it pursues this in a structured manner with close coordination between all key stakeholders. ■

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